

24PSCV04493 24PSCV04493

County: los-angeles

Division: Civil Law and Motion

Department: O

Hearing date: 2026-07-17

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=EA%20%2CO%2C07%2F17%2F2026

Source SHA-256: 798d5c515ce61fd53370ee50f1b051583b345546888814eb63f2dc5fe7854532

Case Number: 24PSCV04493 Hearing Date: July 17, 2026 Dept: O

Tentative Ruling

(1)

SPECIALLY APPEARING DEFENDANT ALTERI ENTERPRISES, INC.'S
NOTICE OF MOTION AND SPECIAL APPEARANCE MOTION CHALLENGING PRELIMINARY
INJUNCTION FOR LACK OF PERSONAL JURISDICTION is GRANTED; any
'conduct' is limited to discussing cryptocurrency and Li's purchase of
cryptocurrency machines and Alteri's acceptance of payment for said machines;
there is no evidence that Alteri solicited California investors or that is
otherwise the "lattice-work" of contacts that are necessary/intent to create a
substantial connection with California.

(2)

Specially Appearing Defendants Alteri Enterprises, Inc.,
Alteri TX Deployment, LLC and Steven Chambers' Amended Motion to Quash Service
of Summons is GRANTED.

(3)

Specially Appearing Defendant Gold Pow, LLC's Motion to
Quash Service of Summons is GRANTED.

(4)

Specially Appearing Defendant Alteri Enterprises Inc.'s
Motion to Quash Third-Party Subpoenas to Fifth Third Bank and JP Morgan Chase
Bank N/A and Request for Sanctions is TBD; no sanctions will be
imposed.

(5)

Defendant Younis & Chambers, LP's Motion Quash

Third-Party Subpoenas to JP Morgan Chase Bank, N/A and Coinbase Global, Inc. and Request for Monetary Sanctions is TBD; no sanctions will be imposed.

As

for the request for jurisdictional discovery, the court will hear from the parties during the hearing and determine the issue thereafter. (Proposed orders have been filed.)

Background

This case

involves an alleged Ponzi scheme modernized by representations of a "20x" return on an e-commerce venture and promises of weekly distributions of 3-6% on a cryptocurrency exchange service.

On December 30, 2024, Plaintiffs GRACE JEON and DENISE STRAESSLER, filed suit against Defendants XINGCHEN LI, an individual; YING XUE, an individual; AION GLOBAL LLC, AION MINING LLC, AION VENTURES LLC, AION HUB LLC for the following causes of action (COAs):

1-7.

Violation Of Cal. Corporations Code §25110, Et Seq.

8. Breach Of Fiduciary Duty (Jeon Tik Tok)

9. Breach Of Fiduciary Duty (Straessler Tik Tok)

10. Breach Of Fiduciary Duty (Jeon Titan)

11. Breach Of Fiduciary Duty (Straessler Titan)

12. Breach Of Fiduciary Duty (Jeon Bh)

13. Breach Of Fiduciary Duty (Straessler Bh)

14. Breach Of Fiduciary Duty (Straessler Aa)

15. Conversion (Jeon)

16. Conversion (Straessler)

17. Penal Code 496(C)

18. Accounting

19. Declaratory Relief (Jeon)

20. Declaratory Relief (Straessler)

On March 28, 2025, Plaintiffs filed their FAC (realleging same COAs against same Defendants).

On May 21, 2025, the court denied Plaintiffs' ex-parte for TRO and OSC re: Preliminary

On June 26, 2025, Plaintiffs filed a notice of related case indicating that case 25STCV14837, 220 Realty, LLC, et al. v. Xingchen Li, et al., was filed on 5/21/25.[1]

On July 3, 2025, the court GRANTED Plaintiffs' motion for a preliminary injunction. Specifically, the court found that Plaintiffs have met their burden of irreparable harm (i.e., Defendant Li's inability to satisfy a judgment) because Plaintiffs' evidence demonstrated that Li drained multiple bank accounts (e.g., of \$1,450,635.68 in deposits to the AION GLOBAL Chase account, LI withdrew \$663,000 in cash and transferred \$55,097.07 electronically to himself) and cryptocurrency wallets of millions of dollars (e.g., none of the cryptocurrency wallets have a significant balance left), encumbered multiple properties for millions more, and began to actively liquidate assets at below market prices (e.g., on June 7, 2025, Defendant listed the other three Joshua Tree properties for sale, all at \$675,000, more than \$250,000 below the market values). As provided in the order, Plaintiffs sought to, inter alia, prohibit Defendants and all persons acting in concert with, at the direction of, or in privity with each of them from taking any further action to dispose, transfer, secrete, sell, assign, encumber or otherwise relinquish any interest any of the listed assets,

which included 'any equity interest in Alteri Enterprises, Inc.'

On December 18, 2025, after having taken the Plaintiffs' motion to modify the injunction under submission after the 12/17/25 hearing, the court granted it. As set forth in Plaintiffs' papers, by unilaterally revoking Li/Aion Global's ownership in Alteri after this court's order for Preliminary Injunction and announcing that they were "tokenizing" them less than a week after the order was entered, Defendant Li and Younis hoped to sell off Alteri assets without any obligation to retain funds from that sale which would have otherwise been protected under the injunction. As Plaintiffs provided evidence that Defendants, Younis, and Alteri are actively acting in concert to attempt to hide Defendants' interest in Alteri, the court modified the injunction. ("[I]t has been a common practice to make [an] injunction run also to classes of persons through whom the enjoined person may act, such as agents, servants, employees, aiders [and] abettors" (Berger v. Superior Court (1917) 175 Cal. 719, 721.)

On February 23, 2026, Plaintiffs filed a second amended complaint.

On
March 16, 2026, Alteri filed the instant motion.

On
May 14, 2026, Plaintiffs filed a third amended complaint (3AC) adding the following COAs against Defendants XINGCHEN LI, an individual; YING XUE, an individual (Li's spouse); AION GLOBAL LLC, AIONMINING LLC, AION VENTURES LLC, JOSEPH YOUNIS, an individual; STEVEN CHAMBERS, an individual; YC CAPITAL PROPERTIES LLC, a California limited liability company; YOUNIS & CHAMBERS, LP, a Delaware limited partnership; ALTERI ENTERPRISES, INC., a Delaware corporation; ALTERI TX DEPLOYMENT LLC, a Delaware limited liability company; GOLD POW, LLC, a Texas limited liability company:

21. Fraudulent Transfer - Actual Fraud (Civil Code
§3439.04) (Alteri)

22. Fraudulent Transfer - Constructive Fraud Civil Code
§3439.05) (Yc Lp)

23. Fraudulent Transfer - Actual Fraud (Civil Code
§3439.04) (Property)

24. Fraudulent Transfer - Constructive Fraud (Civil Code §3439.04) (Alteri)

25. Fraudulent Transfer - Constructive Fraud (Civil Code §3439.04) (Yc Lp)

26. Fraudulent Transfer - Constructive Fraud (Civil Code §3439.04) (Property)

On

June 2, 2026, the court held its hearing on Alteri's motion. At the request of Plaintiff's counsel, the court continued the hearing for supplemental briefing for Plaintiff to address the reply.

Discussion

The court turns to the SAC to understand the nature of the allegations against Alteri.[2]

In short, taken verbatim from the SAC, they are as follows:

Alteri received investor funds transferred by LI for purported mining operations and equipment purchases (§16); in June 2024, Alteri acquired Gold Pow (§171); In total, LI transferred approximately \$5,789,102.50 to entities controlled by YOUNIS and CHAMBERS and their related entities via bank transfers, including approximately \$1,888,000 million to ALTERI-related entities and approximately \$3,901,000 to YC LP; LI transferred at least \$775,000 in cryptocurrency to ALTERI-related wallets controlled by YOUNIS and CHAMBERS, contributing to total transfers exceeding \$2,600,000 for the mining investment (§175); Li received no reasonably equivalent value in exchange for transferring over \$2,600,000 in investor funds to ALTERI-related entities or \$3,901,000 to YC LP, as evidenced by the fact that LI testified that he does not own any interest in the Texas mining sites that were allegedly purchased with those funds (§188); The ALTERI Transfers were made with actual intent to hinder, delay, or defraud AION GLOBAL's creditors, including Plaintiffs, as evidenced by the following badges of fraud (§101); YOUNIS, CHAMBERS, YC CAPITAL PROPERTIES, YC LP, ALTERI, ALTERI TX, and GOLD POW were not good faith transferees for value and are liable for the fraudulent transfers because: (a) They knew or should have known of LI's fraudulent intent based on the badges of fraud described above and their close business relationships with

LI ... They actively participated in the fraudulent scheme by accepting transfers, creating sham documentation, recycling funds to manufacture false loans, and continuing to receive payments while other creditors were denied. (§114 (a), (c)).)

(Plaintiffs

made their investment with Li in August 2023.) Turning to the merits of this motion, Specially Appearing Defendant Alteri Enterprises, Inc. ("Alteri") brings the motion "solely for the purpose of challenging this Court's personal jurisdiction to enjoin Alteri.... Alteri seeks no affirmative relief and raises only the threshold question of this Court's power to enjoin it." (Notice p. 1.)[3]

Accordingly, the issue presented is whether California has specific jurisdiction over a Delaware corporation.[4] (According to Alteri, their role is as a Texas-based operator and asset holder.) For reasons to be discussed below—namely as Plaintiffs have not met their burden of showing that Alteri has purposefully availed itself of the privilege of conducting activities within California or have purposefully directed its conduct into the forum State—controlling precedent compels this court to grant the motion. The court will begin its analysis with an overview of specific jurisdiction then followed by an examination of the respective arguments and evidence.

Specific Jurisdiction

The specific jurisdictional analysis is

"intensely fact-specific." (Rivelli v. Hemm (2021) 67 Cal.App.5th 380, 393.)

Both the United States Supreme Court and the California high court have cautioned that the "'minimum contacts' test ... is not susceptible of mechanical application; rather, the facts of each case must be weighed to determine whether the requisite 'affiliating circumstances' are present." (Kulko v. California Superior Court (1978) 436 U.S. 84, 92, 98 S.Ct. 1690, 56 L.Ed.2d 132 (Kulko.)

"California

courts routinely apply a three-part test to determine whether a court may exercise specific jurisdiction over a nonresident defendant: (1) the defendant has purposefully availed himself or herself of forum benefits, (2) the controversy is related to or arises out of the defendant's purposeful contacts with the forum,[5] and (3) the assertion of personal jurisdiction would comport with fair play and

substantial justice. (Pavlovich v. Superior Court (2002) 29 Cal.4th 262;[6]
see also Keeton v. Hustler Magazine, Inc. (1984) 465 U.S. 770, 774 (Keeton).)

A

plaintiff has the initial burden of demonstrating facts to support the first two factors, which establish the requisite minimum contacts with the forum state. The burden then shifts to the defendant to show that the exercise of jurisdiction would be unreasonable under the third factor. (Snowney v. Harrah's Entertainment, Inc. (2005) 35 Cal.4th 1054, 1062; see also Burger King Corp. v. Rudzewicz (1985) 471 U.S. 462, 477 (Burger King) ["where a defendant who purposefully has directed his activities at forum residents seeks to defeat jurisdiction, he must present a compelling case that the presence of some other considerations would render jurisdiction unreasonable."].)

As the Pavlovich court summarized, specific jurisdiction "depends upon the quality and nature of [the defendant's] activity in the forum in relation to the particular cause of action...the fact that a defendant's actions in some way set into motion events which ultimately injured a California resident cannot, by itself, confer jurisdiction over that defendant." (Pavlovich, supra, Cal.4th at p. 276, emphasis added.)

1.

Purposeful Availment

"[P]urposeful

availment exists whenever the defendant purposefully and voluntarily directs its activities toward the forum state in an effort to obtain a benefit from that state." (Snowney, supra, 35 Cal.4th at p. 1067; see also Yahoo! Inc. v. La Ligue Cantra Le Racisme Et L'Antisemitism (9th Cir. 2006) 433 F.3d 119, 1206 ["Despite

its label, this prong includes both purposeful availment and purposeful direction. It may be satisfied by purposeful availment of the privilege of doing business in the forum; by purposeful direction of activities at the forum; or by some combination thereof."], emphasis added.) The purposeful availment requirement ensures that a defendant will not be haled into a jurisdiction solely as a result of random, fortuitous, or attenuated contacts.

(Burger King, supra, 471 U.S. at p. 475.) Put differently, the purposeful availment inquiry focuses on the defendant's intentionality. (Pavlovich, supra, 29 Cal.4th at p. 269.)

For example, California courts have consistently concluded that a foreign corporation purposefully avails itself of the benefits of the California forum when it knowingly sells and ships its products to California businesses for use in California. (See *Jayone Foods, Inc. v. Aekyung Industrial Co. Ltd.* (2019) 31 Cal.App.5th 543, 556–557 (Jayone Foods) [South Korean company that “engaged in a number of direct sales transactions with multiple California distributors of its consumer products” purposefully availed itself of the benefits of doing business in California], emphasis added; see also *Luberski, Inc. v. Oleificio F.LLI Amato S.R.L.* (2009) 171 Cal.App.4th 409, 419 [Italian company that sold olive oil to California businesses and delivered it to California “had the expectation that the goods ... would be utilized in California” and thus “purposefully availed itself of the [California] forum”].)

Or a defendant does purposefully avail itself of the privilege of conducting business activity in California as exhibited by nature of the transaction, the economic implications, and the ongoing relationship and mutual obligations established thereby. (*Rivelli v. Hemm* (2021) 67 Cal.App.5th 380, 390.) (*Rivelli* is cited by Plaintiffs in their supplemental brief.) In *Rivelli*, the issue on appeal was whether a Swiss company, *Institut Straumann AG*, and its executive vice president, *Frank Hemm* who is a Swiss citizen and resident, were subject to suit in California court for claims related to the purchase by the Swiss company of shares of a privately held California corporation, *Rodo* (a medical device company). (*Id.* at pp. 385-386.) In 2014, the Swiss company acquired a 12 percent minority interest in *Rodo*. A couple years later, *Hemm* joined *Rodo's* board of directors. (*Id.* at p. 387.) In 2016, *Rodo* received approval from the United States Food & Drug Administration (FDA) to sell its dental device such that *Rodo's* management began to negotiate with the Swiss company the terms of a stock purchase agreement. The transaction resulted in the following: (i) increase *Straumann's* equity interest in *Rodo* from 12 percent to 30 percent; (ii) *Straumann* would gain an additional seat on the *Rodo* board of directors (for a total of two seats); (iii) *Straumann* would become *Rodo's* exclusive worldwide distributor under an exclusive distributorship and license agreement; (iv) *Straumann* agreed to establish a revolving \$5 million line of credit between *Straumann* and *Rodo*; and (v) *Straumann* gained “considerable influence over the long-term viability of” *Rodo*. (*Id.* at pp. 395-397.) Effectively, the appellate court found a showing of “proactive and purposeful availment” (*id.* at p. 395,

emphasis added) because “the transaction—proposed by Straumann, negotiated by Hemm on behalf of Straumann, and consummated with significant and continuing benefits and consequences—represents conduct by Straumann that forged a ‘substantial economic connection.’” (Id. at p. 398, emphasis added.) (And this further underscored by the very nature of the “operational reality” of the relationship which was fulfilling the requirements of the distributorship agreement (id. at p. 397).) In short, the court identified a “lattice of contacts” linking the nonresident defendant to California. (Ibid, citing *Checker Motors Corp. v. Superior Court* (1993) 13 Cal.App.4th 1007, 1018.) (In *Rivelli*, despite a finding of purposeful availment, the motion to quash was granted for lack of forum-relatedness.)[7]

Or when a foreign defendant comes to California to negotiate agreement, and the foreign defendant company executes an agreement, that may certainly constitute purposeful availment. (See *Epic Communications, Inc. v. Richwave Technology, Inc.* 2009) 179 Cal.App.4th 314.) By contrast, merely sending an agreement to California and communicating with a California resident over the agreement is insufficient. (See Supp. Reply p. 4, citing *R.E. Sanders & Co. v. Lincoln-Richardson Enterprises* (1980) 108 Cal.App.3d 71, 78 (Sanders))[8]

[“Defendants’ intrusions into this state were few in number, consisting only of two letters and six or seven telephone calls to plaintiff’s agents. The quality of these was insubstantial; none dealt with formation of the terms of the agency relationship or with directions of plaintiff’s activities.”].)

Also, merely receiving payment from California investors is insufficient to evidence purposeful availment was applied in *ParaFi Digital Opportunities LP v. Egorov* (2025) 108 Cal.App.5th 124 (ParaFi). The court will discuss ParaFi at length as it involved cryptocurrency such that the context (i.e., “operational reality” supra) is instructive. In ParaFi, a dispute arose from a Swiss defendant’s (Egorov) cancellation of the plaintiffs’ investment in a decentralized cryptocurrency trading platform, Curve, developed by the Swiss defendant. The plaintiffs, who claimed to be among the most prominent investment funds in the decentralized finance (“DeFi”) space, were excited about the opportunity to help grow the defendant’s platform and subsequently provided Egorov with time, money, and other resources in reliance on the defendant’s promise that ParaFi would be able to invest in the platform. (Id. at p. 130.) But then the defendant cancelled the investment and offered to

refund everyone who wasn't an investor in the company. (Id. at p. 131.)

The plaintiffs sued Egorov alleging that Egorov engaged in a “multi-faceted scheme to defraud Plaintiffs” by “falsely promising plaintiffs a stake in Curve to leverage plaintiffs’ networks, reputation, and other assistance to generate interest and legitimize Curve,” without any intent to distribute CRV tokens, and related voting rights, to plaintiffs.” (Id. at pp. 131-132.) Both the trial and appellate court determined that the plaintiffs’ record did not purposeful availment. The court noted how there was no indication that Egorov solicited California investors; Egorov never visited California to market Curve, to seek out investors, or sought to meet with plaintiffs during negotiations.

As for the forum benefits test, purposeful availment may be found where the defendant purposefully “benefits in the forum by reaching out to forum residents to create an ongoing’ relationship.” (Id. at p. 136.) The court noted how (i) Egorov sought to avoid engaging in economic activities in California (by moving); (ii) the “funds plaintiffs transmitted to Egorov were cryptocurrency sent to Swiss Stake’s digital wallet. While ParaFi and Framework initiated the transactions from California, they are both Delaware corporations and do not state where the United States currency underlying the USDC originated”; (iii) and that the messages between the parties “relate[d] to a single transaction, with the only relationship to California being ParaFi’s and Framework’s presence in the state.” (Id. at pp. 137-138.)

As for the effects test (which is used in cases involving intentional torts), specific personal jurisdiction “may be exercised over a defendant who has caused an effect in the forum state by an act or omission occurring elsewhere.” (Id. at p. 138.) But the effects test “requires express aiming at the forum (not necessarily at the plaintiff)... Thus, under the effects test, specific jurisdiction lies “only if [the defendant’s] suit-related conduct creates a substantial connection with that state”; it is not sufficient that a defendant “targeted conduct at a plaintiff he knows resides in the forum state... The proper question under the effects test is not where the plaintiff experienced a particular injury or effect but whether the defendant’s conduct connects him to the forum in a meaningful way.” (Id. at p. 138,

italics original, internal citations omitted.)

In *ParaFi*, the court determined that Egorov's only relationship to California is based on the plaintiffs' "incidental presence in the state, which is insufficient to establish purposeful availment." (Id. at p. 139, all emphasis added.)

As for the contracts test, the court observed that "the agreements themselves did not contemplate any ongoing California-based activity." (Id. at p. 140)

Another case discussing how the acceptance of payments alone is insufficient to create specific jurisdiction was *Elkman v. National States Ins. Co.* (2009) 173 Cal.App.4th 1035. There, the plaintiff purchased a policy plan whilst at her residence in Florida, but she then relocated to California. When the defendant insurance company, a Missouri corporation, denied certain benefits, the plaintiff sued and the defendant filed a motion to quash. The *Elkman* court concluded that National did not subject itself to specific jurisdiction in California merely by accepting premium payments from California and by processing and paying claims submitted by its insureds for services rendered in this state. The court's reasoning was that "National did not 'come here' voluntarily, no matter how many insureds did. It was the unilateral decisions of [the plaintiff] and other insureds to relocate to California which caused National to accept payments from this state and to process and pay claims for services rendered in this state." (Id. at p. 1321, emphasis added.)

In contrast to the foregoing, purposeful availment was found in *Gilmore Bank v. AsiaTrust New Zealand Ltd.* (2014) 223 Cal.App.4th 1558, which is relied upon by Plaintiffs in their supplemental brief. In *Gilmore*, in short, the defendant (Cindy) began to form trusts and other entities to avoid judgment in a certain proceeding. (Id. at pp. 1563-1564.) One of the entities was a New Zealand Trust, AsiaTrust, which agreed to serve as trustee for a trust that would be created to hold the annuity. (Id. at p. 1564.)

(The Swiss annuity certificate reflected that the insured person was the individual defendant, a resident of California and that the annuity pays about \$67,500 every quarter.) (Id. at p. 1566.) In the lawsuit for fraudulently transferring and sequestering Cindy's assets, AsiaTrust filed a motion to quash "stress[ing] that [their general manager] never visited California." (Id. at p. 1572.) The court was not persuaded. This was a

case wherein the foreign defendant was receiving “compensation for accepting, investing, managing, disbursing, and shielding the assets of a California judgment debtor in a scheme that contemplates an ongoing contractual relationship.” (Id. at p. 1572; see also p. 1567 [“The flow of money originates from the annuity, moves to the New Zealand Trust, then to Cindy’s Retirement Trust, and ultimately to Cindy herself.”].) Accordingly, the case was more than a “single telephone call or piece of correspondence” but a “continuing stream of payments” from the foreign defendant to California and a “continuing receipt” of compensation. (Id. at pp. 1572-1573.) Key word from Gilmore: continuing.

Synthesizing the rules above, the purposeful availment requirement requires a latticework of intentional, meaningful, and proactive contacts targeting the forum state that begets significant and continuing benefits for the foreign defendant. Here, by contrast, what the evidence simply provides is that one of the Plaintiffs lives in California and invested with a California resident who later sent funds to Alteri. None of the cases Plaintiffs cite support their position but instead showcase how much is required for purposeful availment, which is lacking here. From what the court has gathered, there is only one “agreement” between Li and Alteri and that was the for one transaction of certain mining equipment; there is no evidence of an ongoing transactional relationship, let alone evidence of Alteri soliciting California investors. With that, the court adheres to much of its original tentative but will address some of the additional points and authorities raised in the supplemental brief.

A. Merits

Plaintiffs set forth six arguments as to why purposeful availment is ostensibly satisfied. (See Opp. pp. 9-11; see also Supp. Opp. p. 5:26-28 [“[Alteri] knowing it was dealing with a Californian, sent offering documents and invoices into the state, took \$2.66 million traceable to an identified California account, and booked the Californian as an equity holder.”]; see also Supp. Opp. pp. 10-11 [“Alteri knew it was dealing with a California investor and then sent the offering documents and invoices into California, collected approximately \$2.66 million traceable to a California bank account and California wallets, used California counsel to structure the acquisition that money funded, and booked the investor on its own cap table; all within the precise window in which Plaintiffs’ fraudulent-transfer claims arose.”].)

For reasons to be discussed, the court disagrees.

Summary of Plaintiffs' arguments: Plaintiffs

aver that: (1) Alteri's Board formally designated its "principal executive office" in Beverly Hills by written consent signed by both directors; (2) Alteri "acts through its officers and agents" *HealthMarkets, Inc. v. Superior Court* (2009) 171 Cal.App.4th 1160, 1167, and Alteri's California-resident CEO, Younis, has performed his Alteri duties from California as evidenced most recently by executing the declaration submitted with this motion in Irvine on March 16, 2026; (3) Alteri operated through California-licensed counsel; (4) Alteri solicited business in California; and (5) just five days after this Court enjoined Li's equity interest in Alteri, Alteri publicly launched a \$30 million tokenization, a securities offering marketed broadly, including to California investors. And in their supplemental brief, Plaintiffs argue that Alteri entered into a multimillion-dollar commercial relationship with Auradine.

First, to the extent that Plaintiff argues that the acts of a corporation's agents within California may establish jurisdiction over the corporation, not necessarily for a couple of reasons. First and foremost, and as noted in reply, contacts for specific jurisdiction are evaluated at the time the plaintiff's cause of action arose. (*DVI, Inc. v. Superior Court* (2002) 104 Cal.App.4th 1080, 1100-1102 ["As noted above, the [conduct/activity] occurred after the [claim], and therefore it is irrelevant to establishing specific jurisdiction."], emphasis added.) Applied here, the referenced June 21, 2022 Unanimous Consent stating that Alteri's "principal executive office" is in Beverly Hills, California or that Alteri has used transactional counsel located in California in the past are insufficient evidence.

Second, the personal residence of a director or officer does not impute jurisdiction over a corporation. (See Reply p. 6, citing *Thomson v. Anderson* (2003) 113 Cal.App.4th 258, 271.)[9]

Third, the same goes for Plaintiffs' attempt at arguing purposeful availment by Alteri's use of a California-based lawyer. (Reply p. *Aquila, Inc. v. Superior Court* (2007) 148 Cal.App.4th 556, 572 (2007) ["[I]t is not enough for a nonresident defendant to become subject to the specific jurisdiction of this state simply by entering into a contract with a California resident."].)

To the extent that in their supplemental brief Plaintiffs rely upon *Moncrief v. Clark* (2015) 238 Cal.App.4th 1000 to support their proposition that “out-of-state lawyer’s telephone and email communications into California concerning a single transaction were purposeful availment,” yes, but that case does not support Plaintiffs’ point. In *Moncrief*, a California partnership/company hired the plaintiff, *Moncrief*, a California law firm, to perform due diligence in connection the company’s purchase of farm equipment from a company in Arizona; that farm company was represented by *Clark*, an Arizona attorney. (Id. at p. 1003.) Despite *Clark*’s assurances that the farm equipment was free and clear, it wasn’t; as a result of the failed farm equipment purchase, the California company sued *Moncrief* for legal malpractice and the law firm in turn cross-complained against the Arizona attorney, *Clark*. The appellate court reversed the trial court’s order finding California did have personal jurisdiction over the Arizona attorney. As to the purposeful availment prong, *Clark* argued that he had “a single, fortuitous transaction” with the California law firm such that he did not “personally [sic] avail himself of the benefits of California.” (Id. at p. 1007.) In a rather brief opinion, the appellate court rejected that court but did so because *Clark* relied upon a distinguishable case. (Id. at p. 1007 [“The facts of this case are distinguishable from those in *Shisler*. Here, while *Moncrief* and *Clark* engaged in a single transaction, *Clark* targeted *Moncrief* with the specific purpose of inducing *Moncrief*’s client to finalize the purchase of farm equipment from Texas Hill Farms. *Clark*’s contacts with California are not akin to maintaining a passive Web site available to California residents as the defendant did in *Shisler*.”].) Here, by contrast, *Alteri* has advanced much analogous authority to find that *Alteri* did not purposefully avail itself of California’s benefits.

Fourth, Plaintiffs argue that *Alteri* solicited business in California.

Younis’s own declaration admits that *Alteri* sent *Li* (a California resident) a Subscription Agreement and Private Placement Memorandum (*Younis* Decl. ¶ 5), and 8 mining equipment invoices. (*Younis* Decl. ¶8; *Jeon* Decl., ¶17 & Ex. K) *Alteri* subsequently accepted at least \$2,662,802.50 from California-sourced wire transfers and cryptocurrency transfers between August 2023 and August 2024. (*Jeon* Decl., ¶¶ 4, 15, 16.) Soliciting forum residents and accepting their investments is the paradigm of purposeful availment. *Anglo Irish Bank*, *supra*,

165 Cal.App.4th at p. 983 ("By purposefully and successfully soliciting the business of California residents, defendants could reasonably anticipate being subject to litigation in California"); Snowney, supra, 35 Cal.4th at p. 1068 (defendant's deliberate marketing efforts directed at California established purposeful availment). (Opp. p. 10.)

But as

set forth in Reply, Younis met Li on the server Discord in late 2023 and discussed cryptocurrency mining with him, without knowing his identity or his location.

(Younis Decl. ¶ 4; Supp. Younis Decl. ¶5.) In any event, Alteri has never requested that Younis solicit Li or anyone in California to invest in the company. (Supp. Younis Decl. ¶5.)[10] And without seeking out investors or even meeting with plaintiffs during negotiations in California, a finding of purposeful availment is attenuated. (See e.g., ParaFi, supra, 108 Cal.App.5th at pp. 135-136; see also Pavlovich, supra, 29 Cal.4th at p. 274, citing Jewish Defense Organization, Inc. v. Superior Court (1999) 72 Cal.App.4th 1045 [posting a passive website on the internet is not by itself sufficient to subject the defendant to the jurisdiction of California].)[11]

Plaintiffs also argue that Alteri sent a Subscription

Agreement and Private Placement Memorandum to Li's email address, not to any physical location (Opp. at 10), just as it did for all 40 putative investors throughout the country and in Canada. (Supp. Younis Decl. ¶ 6.) In opposition, Plaintiffs cite to Beckman v. Thompson (1992), 4 Cal.App.4th at p. 488 for the proposition that "sending communications into California that are "the instrumentality of the tort" establishes jurisdiction. (Opp. p. 12.) Beckman involved a breach of contract. In that case, the court actually found that California had no jurisdiction over Delaware corporation with its principal place of business in New York. And the portion Plaintiffs cite to in Beckman actually refers to Abbott Power Corp. v. Overhead Electric Co. (1976) 60 Cal.App.3d 272 (Abbott).

But neither Beckman nor Abbott necessarily discussed purposeful availment. The Abbott court primarily focused on the second prong of how the tort of which the defendant was accused of directly related to and, for the most part, rose out of that local conduct of the defendant. (The reply did not address Beckman.)

To

the extent Plaintiffs rely upon Snowney and Anglo Irish Bank, those

cases militate against purposeful availment. In *Snowney*, looking at the scale analysis described in *Zippo Mfg. Co. v. Zippo Dot Com, Inc.* (W.D.Pa.1997) 852 F.Supp.1119, the court examined whether the Nevada hotels that had websites were subject to California's jurisdiction. The court maintained they did because they had: an "interactive" website that provided directions from California to its Nevada hotels; "advertised extensively in California through billboards, newspapers, and radio and television stations located in California"; and regularly sent mailings advertising its hotels to California residents. (*Snowney*, *supra*, 35 Cal.4th at pp. 1063-1067.) Similarly, *Anglo Irish Bank Corp.* does not support a finding of purposeful availment. There, a court found jurisdiction over an Irish bank, the Isle of Man bank, and the trust company as they purposefully directed their activities at California residents by and through the individuals who visited California on their behalf based upon evidence that certain individuals met with "potential investors at the specific request of the Irish bank." (*Id.* at p. 984.) In contrast to those two cases, here, Plaintiffs offer no evidence that Alteri caused Younis to solicit Li or anyone else in California, let alone that it engaged in the coordinated marketing campaigns like the ones in *Snowney* or *Anglo Irish*. (Reply pp. 7-8.)

Also, Plaintiffs argue that after this court enjoined Li's equity interest in Alteri, Alteri publicly launched a \$30 million tokenization, a securities offering marketed broadly, including to California investors. "That post-injunction California-directed marketing is itself purposeful availment, and it independently demonstrates that Alteri 'could reasonably anticipate being subject to litigation in California.'" *Anglo Irish Bank*, *supra*, 165 Cal.App.4th at p. 983." (Opp. p. 11:1-6.) But *Anglo Irish Bank* did involve post-injunction activity. That aside, in reply, Alteri argues that it never did so and the website that Plaintiffs claim is Alteri's is unauthenticated; it was not created or authorized by Alteri. (Reply p. 8, citing Supp. Younis Decl. ¶¶ 7-8.).

Finally, Plaintiffs argue that Alteri maintains a public, multimillion-dollar commercial relationship with Auradine, Inc., a Santa Clara, California supplier of bitcoin miners. As set forth in the opposition, Younis publicly described the "partnership" on LinkedIn—"hundreds of units over the past months in our pilot order, and thousands to come"—and his personal visit to Auradine's California headquarters, and on May 7, 2025, Auradine filed a UCC-1 financing statement

naming Alteri as its debtor. (Supp. Brief p. 10.) But the fact that Alteri bought machines from Auradine in 2025 has nothing to do with Plaintiffs' claims, all of which arose from August 2023 to August 2024.[12]

All in all, much more is required than what Plaintiffs have offered for a showing of purposeful availment. Effectively, the court need not address the other two prongs.

B.

Miscellaneous Arguments

Plaintiffs

also advance other arguments separate from personal jurisdiction. Those too do not change the outcome.

First,

Plaintiffs argue that Alteri has waived jurisdiction by filing the instant motion on March 16, 2026 before it filed its motion to quash service of summons on March 27, 2026. But this motion is clear that it only seeks to address jurisdiction.[13]

Second,

Plaintiffs argue that the "personal-jurisdiction question Alteri presses is not ripe" since it only becomes an issue if "Plaintiffs later seek to enforce the orders against Alteri through contempt, the Court can address personal jurisdiction and concert- actor status on a developed record at that time. (Opp. p. 13.) The court will turn to one of Plaintiffs' own argument when it asked this court to modify its junction: "Defendants position is akin to arguing that a plan to bulldoze a historic landmark cannot be enjoined until the site has been razed. It is axiomatic that Plaintiffs are not obligated to wait for irreparable harm to actually take place before seeking to enjoin that harm based on the new facts they have uncovered." (12/10/25 Reply Re: Modify Injunction p. 6.) Similarly, here, Alteri need not wait for a "hypothetical future contempt proceeding." (Opp. p. 13.) In any event, as noted in reply, lack of jurisdiction may be raised at any time. (Reply p. 10.)

Based

on the foregoing, the motion as to Alteri is GRANTED.

Specially Appearing Defendants Alteri Enterprises, Inc., Alteri TX
Deployment, LLC and Steven Chambers' Amended Motion to Quash Service of Summons

The

court has reviewed all the filings for this motion. As they rest on nearly identical arguments and authority, the court grants the motion.

Gold Pow, LLC's Motion

As for GOLD POW, LLC' motion to quash, the court grants that motion based upon arguments above considering that opposition makes similar arguments as to the purposeful availment prong and that Gold Pow, LLC is a Texas entity 100% owned by Alteri. (See e.g. Opp. p. 4 ["Those same individuals [Chambers and Younis] solicited California investors, retained California counsel to structure the enterprise's transactions, and directed California-sourced funds into the acquisition of Gold Pow...."].) To the extent that the opposition largely focuses on purported contradictions in Gold Pow's Public Information Report, the relevancy of that argument as to purposeful availment is unclear. Lastly, the court notes that Gold Pow, LLC's reply references alter ego claims and pages not found in the opposition. For example, while the reply heavily addresses alter ego claims, that argument is not of concern in the opposition. Also, page 8 of the reply references page 13 of the opposition, but the courtesy copy of the opposition is only 8 pages.

That

said, taking the motion and opposition and largely relying upon the court's analysis above, Gold Pow, LLC's motion to quash is granted.

Specially Appearing Defendant Alteri Enterprises Inc.'s Motion to Quash Third-Party Subpoenas to Fifth Third Bank and JP Morgan Chase Bank N/A and Request for Sanctions

As

set forth in the motion, on February 5, 2025, Plaintiffs served nonparty Alteri with a subpoena, to which Alteri

timely

served responses and documents; On February 23, 2026, Plaintiffs filed a SAC; and on March 3, 2026, Plaintiffs issued the Subpoenas to Fifth Third and Chase, seeking financial records related to Alteri. The Fifth Third Subpoena demands all account statements and "[a]ll DOCUMENTS RELATED TO" all deposits and credits, withdrawals (with supporting instruments), KYC and CDD materials, and records of freezes or

closures and all documents related thereto from January 1, 2023, to the present. Similarly, the Chase Subpoena requests “[a]ll DOCUMENTS RELATED TO” all accounts associated with

Alteri, including transaction histories, device and access metadata, trading and product usage records, communications, and tax reports, covering the same timeframe.

Alteri argues that the Subpoenas are grossly overbroad because the requests effectively call for every single financial document regarding Alteri over a three-year time period that Fifth Third and Chase possess; these requests are not confined to specific transactions or relevant timeframes, resulting in an undue burden on the financial institutions and an unwarranted invasion of Alteri's privacy. (Motion p. 4.) Not only that, but Alteri avers that the Subpoenas are duplicative and cumulative of previous third-party discovery served on Alteri.

Plaintiffs argue that the records “bear directly on whether Li and the Aion defendants routed investor money into the Alteri-related accounts, how those transfers were characterized, whether anything of value came back and whether and how funds moved between those accounts and cryptocurrency exchanges such as Coinbase.” (Opp. pp. 5-6.) After all, the complaint alleges that Li and the Aion defendants solicited and diverted investor funds.

After a review of the arguments, the court is inclined to grant the motion in part by way of modification, but will perhaps use the hearing as an informal discovery conference.

Under California Code of Civil Procedure Section 1985, the subpoenaing party must establish that there is “good cause for the production of the matters and things described in the subpoena, specifying the exact matters or things desired to be produced, setting forth in full detail the materiality thereof to the issues involved in the case[.]” (Reply p. 2.) Moreover, pursuant to CCP section 1985.8(i), 2020.220(i), hat the “court shall limit the frequency or extent of discovery of electronically stored information”

if “It is possible to obtain the information from some other source that is more convenient, less burdensome, or less expensive” or if “The discovery sought is unreasonably cumulative or duplicative.”

Plaintiffs

seek they information they do because of the “evidence show[ing] financial links among Li, Aion and Alteri.” They argue that Alteri’s complete records are necessary to trace the “upstream source of those funds” and that these “requests are tied to a concrete, legitimate need to trace investor funds.” (Opp. p. 8.) But, as noted in reply, even if Plaintiffs sent Li funds from August 2023 to September 2024; even if Li allegedly transferred \$2.6

million

to Alteri and Alteri TX Deployment LLC; and even if approximately \$852,802.50 was used to purchase cryptocurrency mining equipment located in Texas, Plaintiffs fail to demonstrate how subpoenaing all of Alteri’s bank records will show whether or not Li used Plaintiffs’ funds to make his transfers to Alteri or whether Li has any claim to equity in Alteri. (See Reply p. 3, citing See County of L.A. v. Superior Court (2021) 65 Cal.App.5th 621, 637 [nonparty discovery requires “specific facts justifying the discovery sought”].) If there are answers, those would be readily available in records obtainable from Li and his financial institutions to determine if funds from Li and his entities were moved to Alteri (or vice versa).

Additionally,

as explained by Alteri, Plaintiffs already served Alteri with a third-party subpoena before it was a party, and the opposition acknowledges as much.[14] That subpoena asked, inter alia, for “All financial records showing revenue generated from the TX MINING SITE; All bank statements showing receipt of funds for the purchase of the TX MINING SITE; and All DOCUMENT RELATING TO funds transfers in fiat and cryptocurrency. between YOU and DEFENDANTS RELATING TO TX MINING SITE.” Now, Plaintiffs seek the same information from Alteri’s financial providers such that they are duplicative and cumulative of previous third-party discovery served on Alteri and should be quashed for this additional reason. (See also Reply p. 3 [“Alteri timely responded to two different subpoenas served on it before it was a party and produced extensive documents, including all invoices for Li’s cryptocurrency machine purchases and records evidencing corporate records and documents and other financial records.”].)

Notwithstanding,

the court is inclined to order Plaintiffs to narrow their discovery to the specific transfers from Li and his entities.

The
court will hear from the parties.

Defendant Younis & Chambers, LP's Motion Quash Third-Party Subpoenas to JP Morgan Chase Bank, N/A and Coinbase Global, Inc. and Request for Monetary Sanctions

On March 3, 2026, Plaintiffs issued subpoenas for production of business records to Younis & Chambers's financial providers, Chase and Coinbase, set for production on April 7, 2026, seeking Younis & Chambers's financial and cryptocurrency records.

The Chase Subpoena identifies Younis & Chambers's known account number and EIN(s) and demands, among other things, all account statements and "[a]ll DOCUMENTS RELATED TO" all withdrawals and deposits (with supporting instruments), all KYC and CDD materials, and all records of freezes or closures, from January 1, 2023 to present. (Id., Ex. B.) The

Coinbase Subpoena similarly demands all accounts and wallets associated with Younis & Chambers, plus all transaction histories, device and access metadata, trading and product usage records and tax reports from January 1, 2023 to present, as well as "[a]ll DOCUMENTS RELATED TO" these categories. (Id., Ex. C.)

As with the motion above, the arguments and authority are similar, including that Plaintiffs already served Younis & Chambers with a third-party subpoena before it was a Party such that they now appear to seek the same information from Younis & Chambers's financial providers.

The
court will discuss with the parties.

Conclusion

Based

on the foregoing, the court is inclined to grant all three of the motions to quash for lack of personal jurisdiction and likely tailor the subpoenas.

[1] Per California Rules

of Court Rule 3.300, the notice of related case must be filed in all pending cases listed in the notice. The court review of the docket in 25STCV14837 shows that a notice has not been filed in that case.

[2] In the sur-reply,

Plaintiffs argue the TAC supersedes the SAC. However, as noted in the sur-reply, the parties agreed that the filing of a TAC would not moot these motions. What is more, Plaintiffs have not articulated how changes (which were seemingly as to address concerns in the demurrers) would alter the analysis in these motions.

[3] See also Table of Contents [challenging personal

jurisdiction]; see also Motion p. 1:10-11 [“Alteri now specially appears to challenge the Court’s jurisdiction to enjoin it.”]; see also p. 7:1-4 [“It has made only a special appearance in this case for the sole purpose of challenging this Court’s personal jurisdiction to enjoin Alteri.”].)

[4] Under California’s long-arm statute,

California state courts may exercise personal jurisdiction “on any basis not inconsistent with the Constitution of this state or of the United States.”

(Civ. Proc. Section 410.10.) Personal jurisdiction may be either general or specific. (*Vons Companies, Inc. v. Seabest Foods, Inc.* (1996) 14 Cal.4th

434, 446 (*Vons*).) General jurisdiction is referred to as “all-purpose jurisdiction” and specific jurisdiction is referred to as “conduct-linked jurisdiction.” (See *Goodyear Dunlop Tires Operations, S.A. v. Brown* 564

U.S. 91, 919 (2011) (*Goodyear*)) The “paradigm” places where a corporation can be “fairly regarded” as at home are its place of incorporation and its principal place of business. (*Id.* at p. 924.) Absent service in California, absent consent to appear in the action, and absent domicile in California, the remaining way for California to establish general jurisdiction over a nonresident defendant is if its “affiliations with the State are so ‘continuous and systematic’ as to render [it] essentially at home in the forum State.” (*Id.*, at p. 919; see also *International Shoe Co. v. Washington* 326 U.S. 310, 318 (1945) (*International Shoe*) [“instances

in which the continuous corporate operations within a state [are] so substantial and of such a nature as to justify suit ... on causes of action arising from dealings entirely distinct from those activities” renders all-purpose jurisdiction appropriate.”).) If general jurisdiction is not appropriate, however, a state court can exercise only specific, or case-linked, jurisdiction over a dispute. (Goodyear, *supra*, 564 US. at pp. 923-924.) Here, as Plaintiffs’ focus on specific jurisdiction, the court need not address general jurisdiction. (See e.g., Motion pp. 6-7, see also Opp. p. 9:11-12 [“Even if Alteri had preserved its jurisdictional objection, this Court has specific personal jurisdiction over Alteri. Alteri concedes the only question is specific jurisdiction.”]; see also Sur-Reply p. 1:21-24.)

[5] Whether the defendant’s conduct affected the plaintiff—is relevant to the second prong of the specific jurisdiction test, i.e., whether the controversy is related to or arises out of the defendant’s forum contacts. (See Gilmore, *infra*, 223 Cal.App.4th at p. 1570.)

[6] In Pavlovich, the Supreme Court considered whether a California court properly exercised personal jurisdiction over a defendant based upon the posting of an Internet Web site.

[7] *Id.* at p. 401 [“The evidence of Straumann’s forum-related activities centers exclusively on the transaction—its procurement and execution. The causes of action against Straumann for fraud, and for aiding and abetting breach of fiduciary duty by Hemm, do not arise out of or relate to the transaction as it transpired between Straumann and Rodo; instead, the claims arise out of or relate to the alleged misrepresentations to Rodo’s shareholders by the defendant directors and to Straumann having enabled Hemm’s fiduciary breach of duty in his role as a Rodo director.”).]

[8] In Sanders, the Missouri based defendants sought to sell one of their Missouri properties and through an acquaintance, enlisted the California-based corporation. As for the sales agency agreement, the court found it of no significance that plaintiff’s signature was performed in California since the “substance” of the relationship was formed in Missouri. (*Id.* at p. 79.)

[9] But see Anglo Irish Bank, *infra.* at

p. 981 [“A corporation or other business entity acts through authorized individuals, and the activities of its employees are attributed to the business entity for purposes of personal jurisdiction.”].)

[10] In the opposition to Alteri Enterprises, et al’s MTQ, Plaintiffs argue “Alteri sent the same offering materials to a second California investor.” (Opp. p. 6.) No further elaboration is given as to this, but in any event, that misses the mark. The issue is not targeting the state not merely an incidental contact.

[11] If anyone solicited, it was Li, and Plaintiffs in other filings state as much. (See e.g., Plaintiffs’ Opp. to Alteri’s MTQ Bank Third-Party Subpoenas p. 5:20-23 [“The complaint alleges that Li solicited investor funds...and then diverted those funds.”].)

[12] This evidence would bleed into the second factor of relatedness.

[13] It is unclear why two motions seeking similar relief are necessary.

[14] In fact, it is these products that form the basis of another of Plaintiffs’ arguments that resort to a nonparty’s records is proper “where a showing is made the material obtained from the party is unreliable....”

subject to impeachment by material in possession of the nonparty.” (Opp. p. 2, citing *Calcor Space Facility, Inc. v. Superior Court* (1997) 53 Cal.App.4th 216; see also p. 7 [listing purported contradictions].)